

Murphy USA Inc. NYSE:MUSA

FQ2 2021 Earnings Call Transcripts

Thursday, July 29, 2021 3:00 PM GMT

S&P Global Market Intelligence Estimates

	-FQ2 2021-			-FQ3 2021-	-FY 2021-	-FY 2022-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	3.00	4.81	▲60.33	2.56	10.34	9.25
Revenue (mm)	4240.49	4456.00	▲5.08	4583.50	17048.75	17700.77

Currency: USD

Consensus as of Jul-28-2021 11:51 PM GMT

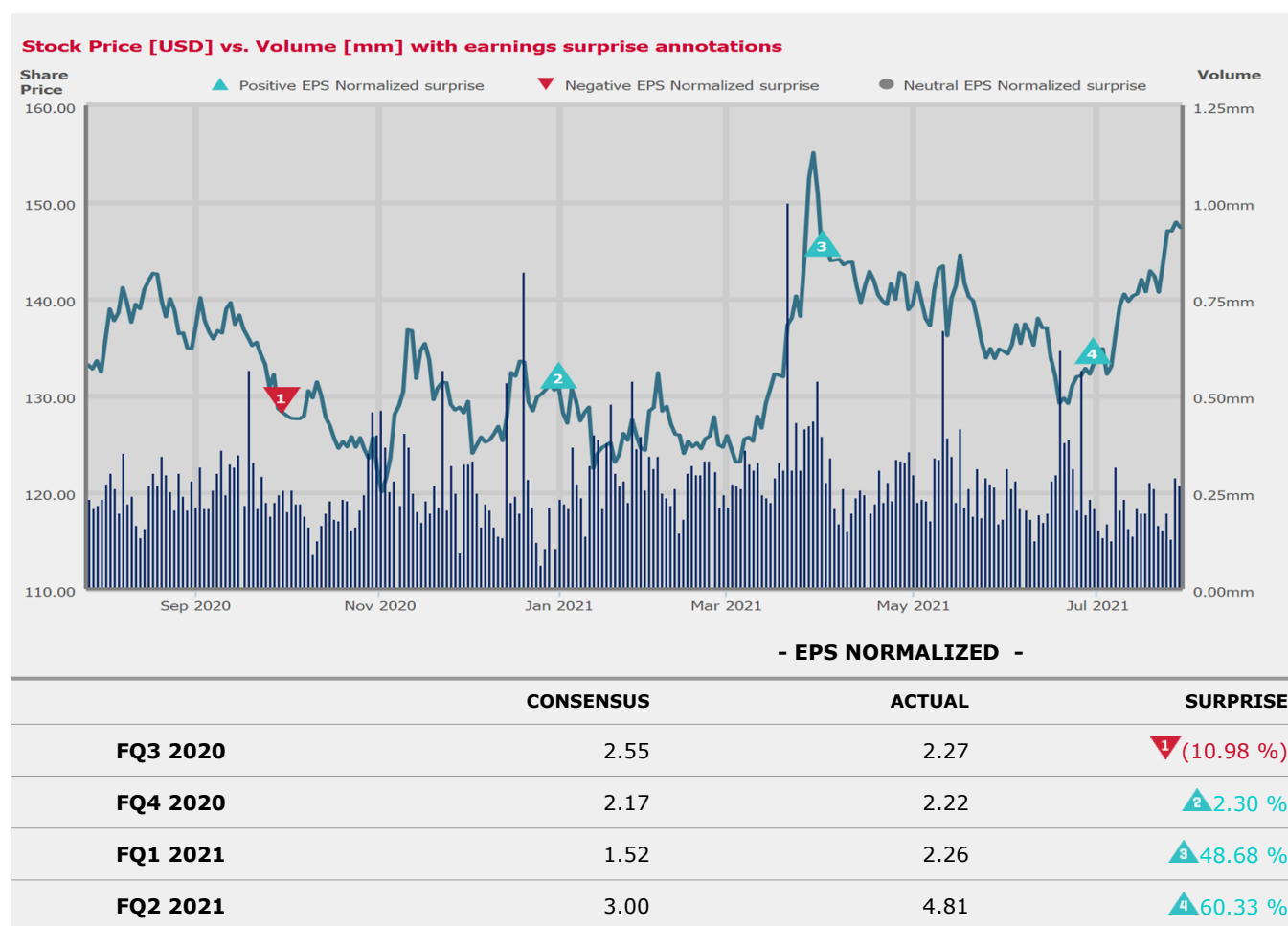


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Call Participants

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Presentation

Operator

Good day, and thank you for standing by. Welcome to the Murphy USA Second Quarter 2021 Earnings Conference Call. [Operator Instructions] And please be advised that today's conference is being recorded. [Operator Instructions] I would now like to hand the conference over to your speaker today, Mr. Christian Pikul.

Christian Pikul

Vice President of Investor Relations & FP&A

Yes. Thank you. Good morning, everybody. Again, thanks for joining us. With me as usual are Andrew Clyde, President and Chief Executive Officer; Mindy West, Executive Vice President and Chief Financial Officer; and Donnie Smith, Vice President and Controller. After some opening comments from Andrew, Mindy will give us an overview of the financial results, and then we will open up the call to Q&A after a brief discussion around our revised guidance.

Please keep in mind that some of the comments made during this call, including the Q&A portion, will be considered forward-looking statements as defined in the Private Securities Litigation Reform Act of 1995. As such, no assurances can be given that these events will occur or that the projections will be attained. A variety of factors exist that may cause actual results to differ. For further discussion of risk factors, please see the latest Murphy USA Forms 10-K, 10-Q, 8-K and other recent SEC filings. Murphy USA takes no duty to publicly update or revise any forward-looking statements.

During today's call, we may also provide certain performance measures that do not conform to generally accepted accounting principles or GAAP. We have provided schedules to reconcile these non-GAAP measures with the reported results on a GAAP basis as part of our earnings press release, which can be found on the Investors section of our website. With that, I will turn the call over to Andrew.

Andrew Clyde

Thank you, Christian. Good morning, and welcome to everyone joining us today. We're very pleased with Q2 performance, which led to the second strongest quarter in our history from a financial perspective, comping against outsized OPEC and COVID impacted results from last year.

While the end results were impressive, this was by far the single most challenging quarter from an operations and execution perspective we have ever faced as a company. I am very proud of our entire team, as we overcame many significant obstacles to deliver these strong financial results. Make no mistake, these results were the outcome of a deliberate set of choices and intentional actions taken during the quarter that built on decisions and capabilities we have developed since then, which in turn helped us overcome these challenges and deliver bottom line results in the manner you have come to expect, as Murphy USA shareholders.

So rather than walk through operational highlights, as I would normally do, I want to take this opportunity to do something different as we reflect on the COVID environment, recognize and thank key contributors, including our field and home office heroes and communicate to you just how nimble and responsive our business can be when it comes to serving customers, working with strategic partners, supporting our employees and delivering for all our stakeholders.

To frame this conversation we created a top 10 list of some of the achievements we think are most representative of the Murphy USA's spirit, commitment and passion for business. #1, leading through merchandise supply chain disruptions. We were certainly not the only retailer to face potentially disruptive supply chain issues, but our team was proactive with the extra mile to ensure we could continue serving our customers. Let me give you a few examples. One of the reasons we were drawing a quick check was a shared culture in the work ethic, and during the quarter, the team proved themselves as committed to their customers as we are to ours. When faced with supply shortages that potentially impacted their

prepared food offer, the operations team filled the void to make sure product got from suppliers to the stores, including renting trucks themselves to deliver fresh produce so they could keep serving customers. That is what I call amazing spirit and a commitment to customer service.

On the merchandise front, some of our largest suppliers were disrupted due to raw material availability and workforce shortages, which resulted in reduced availability of certain items. Our team had to go the extra mile to ensure our stores remain stocked, keeping in constant contact with vendor partners, taking deliveries of product outside normal operating hours, adjusting the promotional calendar when appropriate and communicating updated planogram tactics to the stores.

#2, adapting to the ransomware attack on the Colonial pipeline. Low probability and almost unforeseeable outlier events continue to make headlines with the most recent being the ransomware attack on the Colonial pipeline where we are one of the largest shippers. The event mirrored in many ways, a major hurricane, for which we are very well prepared as we witnessed significant pre-buying activity before outages began.

The event impacted nearly a third of our stores and resulted in widespread gasoline shortages across the Southeastern United States. Our supply team with their capabilities, experiences and assets was able to optimize routing of fuel supplies from other markets while leveraging our fuel carrier partnerships and storage positions to help minimize operational impact. As such, total volume impact was minimal across the time horizon of the event.

#3, navigating continued driver shortages for fuel and merchandise logistics. Driver availability, which has been a material and contributing factor to broader fuel and merchandise supply chain challenges also impacted store operations. In this case, our scale and strategic relationships with fuel carriers help to minimize outages and rate increases on the field transport side. From a broader merchandising perspective, store operations were challenged as fewer deliveries translated to extra labor and effort to stock and display some direct distributed products, further taxing store-level employees.

Our renewed partnership with Core-Mark continue to pay dividends, as they maintained excellent fill rates on core products and their new track my order real-time logistics technology allowed efficient use of store labor. Despite the 3 externalities highlighted above, we continue to press forward with major initiatives to drive improvements to position the business for the future.

#4, engaging customers and store associates through innovative tobacco promotions. Despite coming against last year's record pantry loading results, we were pleased but not surprised to see tobacco sales and margins continue to grow favorably against the prior year quarter, which showed material outperformance that some investors may have thought was transitory. On a same-store basis, we grew tobacco sales slightly, but margin dollars grew at a 2.2% rate in the second quarter versus 2020.

Meanwhile, the 2-year stack shows growth north of 20%, meaning we have maintained and grown tobacco contribution from existing customers and new customers that we are able to better serve during the pandemic. Through targeted category investments in shelf space and fixtures coupled with our scale and upselling ability and, of course, the unique advantages of our Murphy Drive Reward's capability, we have become the retailer of choice for new product promotional activity in the broader tobacco category.

A distinction that enhances our long-term participation in the evolving category, as manufacturers continue to support and promote alternative nicotine products as they did in Q2. Our store employees know how to upsell product and having effective promotions is one way in which we keep them motivated and engaged. They were incentivized through contest and bonus opportunities, which help drive results in both the tobacco and nontobacco space. In a normal environment, the ability to properly staff our stores might not be a noteworthy event, but in our case, it was critical to executing effective promotions with our vendor partners, most notably in the tobacco space.

#5, resetting large-format stores to achieve their return potential. Our success in the tobacco space does not mean that we have taken our eye off the ball in the center of the store categories either. To further our goal of optimizing return on capital employed after analyzing opportunities in our large format 2,800 square foot store design, we implemented a reset across a group of pilot stores, resulting in increased

merchandising space, better product assortment, more appealing lining packages and displays, along with many other changes to help improve the customer experience and grow sales. This follows the successful resets completed last year at our kiosks in small format stores as part of our overall Zero Break Even Initiative.

As a result, we have seen improvements across key categories, including salty snacks, candy and alternative snack categories, as well as our fresh food products in the grab-and-go open-air coolers. Resets are being implemented across the large format stores, further boosting their return potential as part of our organic growth strategy.

#6, integrating the QuickChek acquisition. We continue to execute and realize near-term synergies from the QuickChek acquisition and we are well on pace to meet our year 1 target of \$5 million of run rate savings. Quick wins to-date include leveraging our existing scale to reduce certain G&A, insurance cost and vendor contracts developing and implementing fuel pricing playbooks across the entire QuickChek network to optimize fuel volume and margins, increasing line of sight to larger target synergies such as renegotiating fuel and merchandise supply agreements. We could not be more pleased with QuickChek's performance as many stores recorded all-time record food sales. The team is going above and beyond during these challenging times and alignment of the 2 cultures has created a highly collaborative environment to deliver additional opportunities.

Our integration team has identified over 100 unique opportunities for consideration that could create incremental value over time. Despite the externalities faced during the quarter, we clearly didn't take our foot off the gas in terms of driving the business forward. And the only way we could achieve those results was through the dedication and engagement of our team members where we manage through additional challenges.

#7, managing critical labor and staffing shortages. We were not -- we were clearly not alone in facing labor and challenge, the labor and staffing challenges as businesses of all shapes and sizes are feeling the impact of the reopening economy, combined with the myriad of competitive incentives and government disincentives. We are proactive in our approach to address the problem and deliberate in our actions to ensure our customer-facing services and sales-oriented activities were not compromised.

We launched a hiring campaign, which attracted more than 50,000 applicants in the second quarter and where appropriate, adjusted hours of operations in some stores where staffing challenges were most severe. Further, we prioritize and communicated critical functions and workflows to the field to ensure customer-facing activities were not compromised. We happily and intentionally made trade-offs to pay overtime to engage workers at one of the hours to help provide a seamless customer experience as possible.

In addition, we implemented a mix of seasonal rate increases and retention payments, which combined with higher commissions from promotional selling activities help to stabilize turnover and boost new hires. While these actions did not completely offset the challenges we face, they did help mitigate the pressure on our stores and allowed us to continue winning with our customers as evidenced by the impressive merchandise results achieved despite store operating hours that were 2% below normal due to staffing shortages.

#8, leveraging our home office heroes. In addition to the dedication of our store associates, our home office teams have worked diligently behind the scenes to help seamlessly incorporate the QuickChek family and assets in the Murphy USA. I want to especially thank our accounting team for all the late nights and weekends to close the books on 2 accounting systems and reconcile different reporting periods. Our technology team for helping to quickly integrate collaboration tools and back office functionality, our human resources team made their hands full transitioning and onboarding an entire organization to become part of Murphy USA, and our contract management team for accelerating the alignment of key contracts.

As of July 12, our entire home office teams are 100% back in the office while we continue to explore ways to increase flexibility to staff. I'm extremely proud of our entire company, as we overcame a very difficult environment to deliver an outstanding quarter of financial results.

#9, taking employee engagement to the next level. In the midst of and on top of everything going on, we launched our biannual employment engagement survey at Murphy USA, following QuickChek's annual survey a few months before. While the pandemic has resulted in fewer companies conducting surveys and general declines in employee participation we achieved higher participation levels than in 2019 and exceeded the benchmarks across our priority engagement focus areas, including 4 new items measuring inclusion and diversity. High marks on questions around fairness, trust and ability to effectively manage a diverse workforce all suggests we are demonstrating our commitment to employee growth and well-being.

The basis for everything we accomplished as a company in any environment is a function of the engagement and spirit of the team, and my leadership team and I are extremely proud that we find our organization stronger and more engaged on the other side of these difficult times. As always, we will not be complacent in this regard, and we will actively listen to and incorporate feedback that can take our team's engagement to the next level.

And last #10, believing in and investing in ourselves. During the first half of 2021, we actively engaged investors and took every opportunity to engage investor sentiment and perceptions. Not only about Murphy USA, but also the broader convenience sector. A few key themes emerged about relative investor preferences that were best summed up with one investor's comment to us. There is little appetite for high-quality defensive stocks with so many lower quality cyclical companies leveraged to the recovery that are more attractive to short term investors. While I believe, we are much more than a defensive stock as the quarter demonstrated, I certainly believe Murphy USA is a high-quality stock.

Knowing one can't fight the tape, we repurchased \$148 million worth of stock in the second quarter, which represents our conviction of the future potential of the business. This investment is not merely an outlook for free cash flow as we balance our repurchase decisions against the capital needs of the company and invest where we think it will benefit our shareholders the most over the long term.

This decision was made easier for us during the quarter as investor uncertainty, despite strong operating and financial performance has led to what we believe is a continued disconnect in our stock price. This uncertainty persists against a favorable backdrop of structurally higher fuel margins, a continued robust outlook for new store growth and long-term synergy capture and value embedded in the QuickChek acquisition. We cannot be more confident about our future and our ability to execute for all our stakeholders.

From the resiliency of our business model and agility of our leaders to respond to disruption to the relentless pursuit to achieve the full potential of our growing business, through the actions of an engaged and never complacent team, I could not be more proud of the overall results this quarter. I hope this narrative provides you with additional and helpful color on how we believe the quarter should be defined.

I'm going to turn the call over to Mindy now, and then provide some color on our revised guidance metrics before opening up the call to Q&A. Mindy?

Malynda K. West

Executive VP of Fuels, CFO & Treasurer

Thanks, Andrew, and good morning, everyone. I'm just going to review some standard items quickly. Total revenue for the second quarter of 2021 was \$4.5 billion, which includes a whole quarter of QuickChek contribution versus the first quarter of this year when our financial results-only reflected the business post-close, which meant January 29 through March 31.

Second quarter revenue was higher than \$2.4 billion a year ago, which did not include QuickChek and also reflects lower gasoline prices. The average retail gasoline prices per gallon during the quarter were \$2.73 versus \$1.71 in 2020. Adjusted earnings before interest, taxes, depreciation and amortization or EBITDA was \$244.5 million in the first quarter versus \$274.2 million in the same period in 2020. Net income in the second quarter was \$128.8 million versus \$168.9 million in 2020. The total debt on the balance sheet as of June 30, 2021 was approximately \$1.8 billion, broken out as follows: We have long-term debt of around \$1.794 billion and additionally, approximately \$12 million is captured in current liabilities, representing 1%

per annum amortization of the term loan and the remainder a reduction in long-term lease obligations as they are paid through operating expense.

Our \$350 million revolving credit facility had a 0 outstanding balance as of June 30 and is still currently undrawn. These figures result in a gross adjusted leverage ratio we report to our lenders of approximately 2.6x, and cash and cash equivalents totaled \$165 million as of June 30.

Capital expenditures for the second quarter were approximately \$89 million, \$22 million of which was attributable to QuickChek. The majority of second quarter CapEx was growth capital allocated to new store construction. Thank you, everyone. I will now turn the call back over to Andrew.

Andrew Clyde

Thanks, Mindy. Before I open up the call to Q&A, we want to provide an update to our annual guidance for 2021, reflecting first half results and expected performance in the second half of 2021, given increased line of sight to some key metrics.

Starting with organic growth. Our plan was to construct up to 15 new industry stores in 2021, including about 5 QuickChek stores. However, supply chain limitations primarily around the protective coating resin for underground fuel storage tanks has created delays in our build schedule where we are pushing more '21 stores into 2022 with that cascade continuing into 2023. So for 2021, we are now anticipating about 30 new Murphy Express stores and 6 new QuickChek stores, along with 31 raze-and-rebuild projects. In 2022, early indications for a build class of 50 to 55 new Murphy Express stores and 6 new QuickChek stores in addition to 25 raze-and-rebuild projects.

Beyond 2022, we are staffed for and maintain a real estate pipeline capable of adding approximately 55 to 60 new stores per year, including QuickChek. But from a capital spending perspective, we are maintaining activity levels throughout the forecast period, and thus total capital spend will not be reduced commensurately with the NTI activity, as we backfill 2021 NTIs with more raze-and-rebuilds and initiate 2022 build class activity sooner than normal. The result will be more ratable store openings across the 4 calendar quarters next year, as we work to catch up on new store activity into 2023.

As such, our combined capital budget, which prioritizes organic growth and new stores, was originally forecasted in the range of \$325 million to \$375 million, which includes a range of \$275 million to \$325 million for Murphy and up to 6 newer QuickChek. While we expect to remain in this range, we are more likely to fall at or below the midpoint versus the upper end.

Moving on to fuel contribution. We originally provided per store volume guidance of 245,000 to 255,000 gallons on an APSM basis. As volumes are anticipated, we are now projecting volumes between 232,000 and 238,000 APSM. We fully expect to see higher structural fuel margins offsetting lower industry volumes to which Murphy USA maintains outsized leverage.

Our merchandise business continues to perform, and we are tightening our range towards the high-end of original guidance to between \$690 million to \$700 million, and this increase comes despite some of the headwinds we mentioned earlier in the call. On the OpEx side, as our average format size continues to grow, we expected our per store cost metrics to increase both from new 2,800-square foot stores and raze-and-rebuilds, which turn a higher-performing kiosks into a 1,400 square foot store. When combined with the larger format QuickChek stores, our original guidance was a range of \$27,000 to \$28,000 per store month in 2021. While cost control remains a central focus of our strategy, the labor market supply, government-sponsored COVID relief programs and inflationary pressures from a recovering economy have created widespread employment issues, not just for Murphy USA and our C-store competitors, but impacts have been felt more broadly across retail sectors.

As mentioned, our priority has been to reward our employees who are committed to us to over time contest incentives and commission-based adjustments in addition to select market wage adjustments to invest in our people and maintain our sales growth trajectory. As a result of these actions, we are experiencing higher-than-normal pressure on our store level operating expenses, which in turn impact benefit and other employee expense items. While some of these impacts have not yet made their way into our financial results in the first half of the year, we expect the second half to reflect more labor

pressures resulting in an updated guidance of \$28,000 to \$29,000 per store month. When we compare these pressures to the typical competitor in our sector who has larger average rosters and lower sales and volume throughput, we believe that not only will our relative cost impact be less than theirs, but we actually stand to gain to the extent they're higher relative cost continue to be passed through in the form of higher fuel prices and margins.

Our SG&A expense remains in the range of \$190 million to \$200 million as we continue to invest in critical IT projects and personnel to help support corporate priorities, including the QuickChek integration and drive long-term efficiencies and new capabilities. Effective tax rates are unchanged and expected to remain in the 24% to 26% range. Annually, we have provided an approximate EBITDA outcome as a function of a representative all-in fuel margin to serve as a marker for modeling purposes and to help illustrate the earnings potential of the business. While we are not updating the prior modeling estimate for 2021, we continue to hold a position that all-in fuel margins are likely to attain a new higher equilibrium in 2021 and beyond and we have certainly seen that point of view supported by first half all-in fuel margins, which averaged \$25.50 per gallon and what would generally be characterized as a more difficult rising price environment.

In July, volumes are running at 93% of 2019 levels at retail margins north of \$0.21 per gallon. Thus, combined with the first half results already booked, we certainly expect full year results to eclipse our prior modeling estimate. With that, we will now open up the lines for our Q&A. Operator?

Question and Answer

Operator

[Operator Instructions] We have the first question comes from the line of Bone Herzog from Goldman Sachs.

Sam Reid

This is actually Sam Reid pitch hitting in for Bonnie. I wanted to just quickly touch on the merchandise margins in Q2 and recognize they were very strong. But maybe could you give us a little bit of a sense and perhaps quantify how much of the lift specifically came from QuickChek higher-margin business versus maybe just strength across your core MUSA business?

Andrew Clyde

Yes. So I mean the total contribution margin dollars was a strong mix of all of the above. I mean if you think about our tobacco category, we continue to grow that. Non-tobacco on the Murphy side continue to grow as general merchandise from pandemic-related items, PPE, et cetera, was offset by new innovation and items. The fresh food and beverages that was turned off for much of the prior period at the Murphy stores in the prior year came back. I mean, a lot of the absolute incremental growth year-over-year in the quarter was QuickChek because it wasn't reported in the prior period, and we haven't broken out those numbers separately. But what I would say for their business is, they have well-established stores that are achieving record food sales, highest ever. The beverage categories continue to rebound. What's being interesting is looking at the day parts where some of the early morning coffee daypart use is still recovering, the late evening daypart for smoothies and other beverages through some of the delivery apps continues to grow. And so we are seeing offsets at different day parts, different products and likely different customer segments. So I would say it's just a strong, healthy mix across both brands and all the categories.

Sam Reid

And let me just pivot just with one follow-up here, specifically on some of the pressures you guys are seeing on the employee side, especially as it relates to your store hours. And I know that was something you touched on in the prepared remarks. Is there a specific day part that's being impacted here the most? And is there a risk that some of these reductions in hours might need to be permanent if some of the labor pressures persist?

Andrew Clyde

Yes. So I mean, we are generally looking throughout the year multiple times at the first 2 hours and the last 2 hours of the day, both to determine do we need to increase store opening hours, which we do seasonally or reduce them based on different traffic patterns, profitability, and we also look at security concerns as well around the stores. In our view, the labor shortage should not persist. It's just a matter of when, not if. And we will resume normal operating hours as soon as we are in a position to do that. I think that's actually what makes the quarter so impressive. I mean despite these challenges, despite 2% reduction in operating hours, we still achieve these results. And so when we turn those hours back on, we further expect to see incremental benefits come from that. During the pandemic last year, we didn't increase the opening hour seasonally like we would normally have done. And so I think that's one of the things customers have probably gotten used to is that some stores just aren't going to be open as late as they were. We fully expect to be able to optimize those hours when the shortages and labor challenges, I guess, some relief.

Operator

Next question comes from the line of Bobby Griffin.

Robert Kenneth Griffin

Raymond James & Associates, Inc., Research Division

Andrew, I guess, I want to first talk on maybe a little bit high-level subject, but we've talked in the past about this new equilibrium in fuel. And you guys are really killing in your results, first 6 months as well as the July comments. We are in a rising oil environment, and that hasn't changed it either. So you know this industry very well. But if you were to think kind of on your crystal ball, what do you think would have to happen for that new equilibrium to go away? Can you go back to maybe old.

Andrew Clyde

I think you have to have highly irrational competitors and -- to be able to do that. I mean, I think in the current environment where volumes are still pressured, you just see a more rational behavior. The point I noted about labor is a really important one. We are experiencing the same challenges as everyone else, but we have a smaller average roster. But at the same time, we have higher throughput in merchandise and volume throughput. And so on a cents per gallon basis, even if you saw these trends continue our impact is about \$0.005 to \$0.01 in some of the worst-case scenarios we've modeled where the impact for the third or fourth quartile NACS retailer is \$0.04 to \$0.05 per gallon. So the economic pressure that the typical retailer is under is going to have to be made up somewhere. And there's only a few categories that have the pricing power and the ability to push through and fuel prices is one of those. What I would also say is that as other retailers continue to develop the food and beverage offer, especially some ones like QuickChek, et cetera, food and beverage is the path to purchase for the overall store. And so we are able to bring in and we are able to bring in the QuickChek stores, customers through those offers. And so you don't have to be as aggressive on the fuel side to drive traffic. And so I think there's just a combination of just market conditions, structural conditions that just position Murphy USA in an incredibly strong outsized leverage way to this environment. And if you'd ask me, would you ever see \$0.255 all-in margins in one of the largest rising price environment we have ever seen, I would have had to say the world's turned upside down. Well, guess what, the world has turned upside down. But the pockets of the marginal retailers aren't being emptied out, they are just continuing to push these prices higher to which we will benefit. And if you are talking \$0.01 to \$0.05 per gallon, it's immaterial from a consumer perspective when you have seen prices rise \$0.70, \$0.80, \$0.90 because of higher oil prices and other factors. So that's not a crystal ball. That's just the analysis that we've done. But I think there's a lot of market dynamics, competitor dynamics that support this view, and I think others are starting to echo it as well and certainly showing up in results in a very -- what would normally be a very challenging environment.

Robert Kenneth Griffin

Raymond James & Associates, Inc., Research Division

Bobby Griffin

That's very helpful. It seems like you guys are in a great sweet spot in this type of operating environment. Maybe just 2 quick ones for me, and then I will turn it back over. But for the store operating hours, do you expect to get those back to maybe normal levels for the second half? Or is that a headwind that you think will persist for the rest of 2021?

Andrew Clyde

So yes, I would hope by the fall and winter we're back to the normal fall and winter hours. We would typically raise our hours during the summer. A lot of the stores are at those higher summer hours now. The stores we have had to do this that are the ones that had the most severe labor shortages. And so that's just going to be a function of those markets, the competitive dynamics there, the employee incentives or disincentives that may be in place there. So it's going to be market-by-market, but I would certainly hope by the fall on an average basis, we're back to that point. Moving on we'll continue to maximize the merchandise sales with the hours and the staff that we have as we did this quarter.

Robert Kenneth Griffin

Raymond James & Associates, Inc., Research Division

And I guess, lastly for me, just on the raze-and-rebuilds, you've talked about this a little bit before in the past, but they continue to perform extremely well. Can you just remind us and investors how many more years left do you see in your raze-and-rebuild opportunity at the current cadence that you're doing on?

Andrew Clyde

I mean 25 stores a year. I mean, we are doing this for many, many, many years into the future. There are certainly opportunities to accelerate that if we wanted to. There's also a nice cadence that when you have got 25, you can accelerate it to 31 like we did to maintain the capital spending. It's really helpful for our modular manufactured building partner and contractors as well to have a steady cadence. And so if we were to step up to a higher level, we would need to adjust the entire supply chain to do that. So we feel good with that cadence, but it's certainly a near-term lever we can flex. Certainly, there are some locations where we would need additional land from Walmart to be able to do that, and that could be an opportunity to accelerate those. And certainly, we see a benefit when they make improvements to their big supercenters. And I know they see a benefit when they get a shiny new Murphy USA in front of their supercenter, as part of an overall attractive everyday low price offer to customers. So a number of factors there that could impact that over the long run.

Robert Kenneth Griffin

Raymond James & Associates, Inc., Research Division

I appreciate the details. And best of luck here in the second half of this year.

Andrew Clyde

Great. Thanks, Bobby.

Operator

We have the next question comes from the line of John Royall of J.P. Morgan.

John Macalister Royall

JPMorgan Chase & Co, Research Division

You've had a second quarter in a row now of really strong PS&W plus Marines margins. As another quarter where we saw rising commodity prices, is there anything to call out other than the price effect on that margin in 2Q? And then as some major view on commodity prices going forward, should we expect the margin to normalize in the back half of the year?

Andrew Clyde

Yes. So you are right. We saw once again a rising price environment, which impacts the uncontrollable, as we call it, part of that PS&W margin, which was very favorable. We also had deeply negative supply margins that were offset by the RINs. And if you are covering the refiners, which I know you do, they had pretty strong refinery crack spreads at over \$21. And so they are capturing the benefit of the refinery gate of that RIN price. So I don't think the world has tilted off its access in terms of how the normal market expects to work in this dynamic. Normally, you would expect this second half of the year to see falling price environment, in which case the retail margin is higher, the uncontrollable or the accounting timing trading variance would go negative. And so you would see the net PS&W plus RINs to be kind of below the \$0.025 to \$0.03 that we would normally expect. And so I think when we get to the end of the year, if we've had a big falling price environment, you'd likely see us get back on a normal amount on an annualized basis. And certainly, as we think about 2022 and beyond we're not projecting \$0.06 for product supply plus RINs, we're projecting \$0.025 to \$0.03 has been the historical norm. But we do think the retail part of that margin has and will remain elevated for all of the reasons we've discussed. And of course, it will fluctuate in rising and falling environments offset by the PS&W component.

John Macalister Royall

JPMorgan Chase & Co, Research Division

That's very helpful. And then I know you are in very early innings on the QuickChek reverse synergies and we shouldn't really expect any tangible progress this early, but can you just go through any type of work that's being done at this stage in terms of the longer-term goal of implementing QuickChek's food offerings into your raze-and-stores? And how do you expect that opportunity to progress over the next couple of years?

Andrew Clyde

Sure. So I think the stage we are in right now is sort of the broader strategy diagnostic around what is the opportunity to do that. And at the same time, the team continues to optimize the food and beverage offer within the Murphy stores, which you see through the roller real promotions that we are doing, the enhanced open air cooler offering that we have in place, et cetera. And so if you think about the platforms that QuickChek has, I mean, they have a made-to-order model in a kitchen in the stores, which we will never have in our 2,800 square foot store. So the question is, for a coffee program, how do we want to best deliver that at a best practice level to our customers?

Today, we do lean to cut because of the freshness and the efficiency associated with that, but we have nowhere near the condiment assortment or presentation that QuickChek has to make that offer attractive. If you look at their open air coolers and the fresh offer, they have their delivered through PFG, it's a significantly more enhanced offer than what we have. We could have QuickChek sandwiches, recipes, salads to go, et cetera, made by PFG to go into our open air coolers relative to the higher-quality Core-Mark products that we have just implemented as part of the optimization program. We have roller grills today, but we're nowhere near best practice in how we do that. QuickChek doesn't have roller grill. So there's a whole set of questions around what should the platforms be to deliver the offer the Murphy customers who walk within our stores, given those platforms, what are the trade-offs given the space considerations, how do you execute to be great versus just average at the platform you desire to be at. And I think that's where there's a lot of learning just around food and beverage, handling, safety, training and that process side, the metric side, the daily reporting side around waste, spoilage, the production planning, those are things we've already learned and begun to implement within our stores. So as we've talked about before, it's not a cut in pace of the QuickChek platforms offer, et cetera, into the Murphy stores, it's really how do you think about food and beverage in the context of our store. As I said before, QuickChek is a QSR. With over 50% of their merchandise sales being food and beverage, they are our high-performing QSR brand that happens to have convenience items, and, by the way, it has fuel at half of their stores. And so we're not going to turn a Murphy Express into a QSR, but we can learn a lot about food and beverage from that capability.

Operator

Next question comes from the line of Ben Bienvenu.

Benjamin Bienvenu

I want to piggyback on John's question there. You talked about year-to-date all-in fuel margins. You also talked about how this rising price environment has benefited the PS&W plus RIN contribution perhaps it has been a cyclical factor to the detriment of the retail margins. How indicative though, do you think the all-in fuel margin is year-to-date of the go forward? And I know there are variables that feed into that, that can change things. It's not a single variable equation. But when you think relative to the start of the year about where the equilibrium would be on fuel margins versus now, I would be curious to hear kind of how you're thinking about things.

Andrew Clyde

Ben, I think it's something that's just going to continue to evolve. And so if you think about just the retail component of it. And I break that apart because if we measure that from, say, the OPIS low to the street and you think about the typical average retailer, third quarter retail getting their branded price to the Street. If that's setting kind of a ceiling in the marketplace, what's driving that? A year ago, it was fuel volumes cut in half, and then they went from 50% to 60% to 70% to 80% to 90%. And look, I don't know exactly what the national number is, but most reports would say it's still below 10%. And so if you think

about their fuel breakeven cash margin requirement to maintain their profitability, that component is still depressed, even though it's not as depressed as it was a year ago. But a lot has happened in the last year. Now we're not only experiencing labor challenges, but the inflationary pricing associated with that labor, higher prices on credit card fees, higher fuel transport cost, et cetera, has raised the typical retailers breakeven another \$0.03, \$0.04, \$0.05. And so with the delta variant and potential restrictions coming back and employees taking different routes on that, coming out of the summer driving season, I don't know what's going to happen around back-to-school. I mean there's a whole lot of variables out there, but I would encourage everyone to think about in terms of the breakeven formula, how are the relative sales going to do? What is their relative cost structure? How is it going to be impacted? What does the relative volume performance look like. And so I think that sort of market margin setting retailer is going to continue to feel ongoing pressure on all 3 of those fronts. And if there's anything this environment should help inform investors about Murphy USA is we're continuing to sustain and grow share gains in key categories like tobacco, our non-tobacco business had more room to rebound, and it is rebounding. Our cost structure is lower and is not being as impacted as much. And we have additional levers like commissions and contest and the like to keep employees engaged and our fuel volumes recovering faster. And you know I've talked about sort of the supply curve, and I made the industrial investors get it. But if we are on the far left-hand side and the price setting mechanism the far right-hand side and it gets steeper and steeper and steeper, we are going to benefit. And so I don't have a crystal ball to tell you what's going to happen to macro demand or labor or whatever, but I do believe and understand that the components that make up the margin setting, price setting mechanism in this market are going to continue to favor us with outsized leverage. And if we can achieve that in a rising price environment, imagine what we can do in a falling price environment. And the PS&W piece is just going to offset some of that. The retail margin will be higher in the falling price environment we'll give up \$0.02 or \$0.03 or \$0.04 on the PS&W side at the end of the year, we will be back talking about \$0.03. Maybe we sold off some more RINs in Q1 and Q2 at a higher price, and that balance fluctuates a little, but that's really not going to be a material number at the end of the day. And so I think it's going to be that fundamental. And as long as investors continue to say, hey, structurally, we're not sure about this. then I would argue, structurally, they either don't understand it or two, they believe a competitive dynamic is going to change. And if it does, and the margins crash and burn, you are going to see a large proportion of retailers in this business go out of business, in which case, there's an opportunity for those remaining.

Benjamin Bienvenu

I want to ask about your operating expenses. As you quantified it on a kind of \$0.01 per gallon relative impact versus the industry. Given the noise from the contribution of QuickChek to the model, positive on the merchandise side, negative on the operating expense side. How should we think about kind of a steady same-store sales operating expense growth in your business in this environment?

Andrew Clyde

So I think we are going to address that as we think about our coverage ratio going forward, fuel breakeven was kind of the key metric that we had as we get to 0. 1, we've achieved the goal. 2, the metric as weird as volumes grow, the metric gets worse. And so the way we're thinking about it across all our categories is, what is the relative growth of sales and margin contribution for the categories? And what is the incremental labor and other costs associated with achieving that. And that's really what we're going to monitor closely. And so for in the QuickChek business, we can look at that very easily around the food and beverage side because you've got the food and beverage leader and their team, the C-store leader and their team and the attendant fuel associates to be able to monitor that. And so we haven't put forward a same-store target around that or an operating cost target. But what I would expect to see is that coverage ratio of merchandise margin, the operating costs to continue to expand over time. And one of the things that we'll be sharing is how does that metric compared to our fuel breakeven metric, and it was stubbornly well below 90% for years after the spend and it's consistently grown well over 110%, 120% over the last few years. So I think that's often been the challenge for those implementing food and beverage in the C-store sector is they raise cost at a rate greater than their adding contribution margin. Our objective will be to continue to expand contribution margin by category, in the coverage ratio by category.

Operator

Next question comes from the line of Matt Fishbein from Jefferies

Matthew Jacob Fishbein

Jefferies LLC, Research Division

On the labor side of things, I appreciate those examples on how the team executed through the quarter. It's very easy for us here on the call to see the release and say aloud is, this quarter looks great and excel, but it's amazing to hear those specific stories about the work that went into Q2 results. The whole team from store to corporate should be very proud. And as we think about the Murphy USA, QuickChek operating environments in different parts of the country against different competitor sets, employing team members from different cost of living and perhaps even different personal priorities given at geographic difference. Are there any key teachings the legacy Murphy team has learned from QuickChek or vice versa on how to combat this industry but really sector-wide phenomenon.

Andrew Clyde

Yes, I would say we have learned a lot about each other and what we found is what we learned early in the due diligence that the culture and work ethic and commitment of the home office team to the store associates and the store associate and team members to the customers it's just truly exceptional. They go about it, the QuickChek goes about it in a different way in terms of the fresh food offer as its distinctive portion of its brand relative to how the Murphy team goes about it. But the stories of district leaders, renting trucks, going to produce suppliers and making sure stores had what they needed to make sandwiches it's frankly no different than our district managers at Murphy instead of doing their walk for excellent scorecard is helping the store associates onload deliveries, take out the trash, clean the pumps, do whatever it takes. And so I think this is where M&A can be difficult for firms or it can just be really fulfilling and rewarding if you find a partner in that process that has the same culture and work ethics and fundamental beliefs about what it takes to be successful and excellent in this business, then you can be open and collaborate and move the business forward. So what I would say is what we learned most is that we're more similar than different in our commitment, and that has just opened the pathway to about a 100 ideas that I referenced that the integration team has identified. And 1/4 or those were already in the bag, as quick wins or near-term things that we could just get on with. Some of them are going to be more difficult like how we think about integrating accounting systems and alike, but it's a highly collaborative appreciative environment.

Matthew Jacob Fishbein

Jefferies LLC, Research Division

I appreciate that perspective. And just a follow-up and double click on merchandise trends. First, can you provide any general directional quarterly data update on what you are seeing? And second, on the \$10 million increase in the bottom of the total merchandise contribution guide. By my math, which, to be fair, is an oversimplification just taking where the 2 months of QuickChek we're tracking last quarter versus the prior full year QuickChek contribution expectation. QuickChek, food and beverage sales perhaps rebounded faster than anticipated. Should we be thinking about that potential rebound is a function of the reopening economy and QuickChek's higher exposure away from home food and beverage? Or was this mostly a market share gain given that extraordinary execution by team, just to be clear?

Andrew Clyde

Yes. It's hard to say if it's market share gain versus kind of the rebound recovery versus just ongoing initiatives because unlike some of the fuel and tobacco, we don't have as readily available data on that side. So it's probably some mix of all of the above on that side. I don't have quarter-to-date numbers to share like we did on the fuel volume. But I would say the trends are continuing. There's a strong environment around certain promotional categories on the other hand, with some of the material -- raw material shortages, we are having to adjust the promotional calendar on some other items. But if we think about kind of the Murphy USA stores, 93% fuel volume relative to 2019, that path to purchase, coupled with the tobacco share gains is a good indicator of the foot traffic. And similarly, on the QuickChek stores, food and beverage is the traffic driver at those stores. It coming back is also a good indication of foot

traffic. So I just think with the economy reopening in those stores all running at a really high level despite a few operating hour adjustments. I think it just bodes well for the second half of the year. And I think it goes back to that employee engagement. I'm not sure every retailer out there is having that same benefit. And so I think it's a real distinctive advantage in this marketplace and it's something customers can see and feel as well.

Operator

There are no more questions at this time. Please continue, presenters.

Andrew Clyde

Andrew Clyde Great. Well, thank you all for joining today. We don't normally do a top 10 list, but I just felt that with such exceptional results in this quarter, it was just more helpful to just let you know just how challenging it was, but what these incredible team members did to overcome those challenges to deliver the results. So hope you appreciated the narrative. And we'll we look forward to the next call. Thank you very much.

Operator

Thank you, ladies and gentlemen. This conclude today's conference call. Thank you all for participating. You may now disconnect.

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